SYNTHETIC REGULATORY CIRCULAR

Circular No. SYN/REG/2026-27/019

Date: 2 June 2026
To: All Regulated Entities
Subject: Periodic KYC Updation - Simplified Procedures

1. Background

To reduce customer friction and ensure continued compliance, regulated entities may adopt simplified procedures for periodic KYC updation.

2. Directions

(a) For customers whose KYC information is unchanged, a self-declaration through any registered digital channel shall suffice for Low and Medium risk customers. (b) Face-to-face or V-CIP verification continues to be mandatory for High-risk customers at every updation cycle. (c) Banks shall send three reminders, at 90, 60 and 30 days before the due date, through at least two channels.

3. Restrictions on Non-Compliance

Where updation is not completed by the due date, banks shall apply partial freezing - debits restricted but credits allowed - after a notice period of 30 days. Full freezing shall not be imposed solely for KYC non-updation without a further notice of 60 days.

Issued for training purposes. Not an actual regulatory circular.